Insurance and Property-Tax Preflight

Property: _____ **Date:** _____

Part C: The package.

Takes in: the address and the assessor.

Hands to: AS-20 (capital plan), AS-07 (the offer).

Two numbers ambush buyers after closing: the real insurance bill and the reassessed tax bill. Get both before the offer.

1. Insurance quotes before the offer

- ☐ Get quotes in your name, on this park, before you offer. The seller's premium is not your premium.
- ☐ Flood: check the maps, then quote it. Lenders generally require flood coverage on buildings in a mapped high-risk zone. Confirm with your lender.
- ☐ Wind and hail: often a separate deductible. Read the number, not the brochure.
- ☐ Liability: confirm park-owned homes and common areas are covered, in writing.
- ☐ Loss runs: five years of claims history from the seller's carrier. Surprises live here. Order them in week one; carriers are slow.

2. The quote sheet

Coverage	Seller pays ($/yr)	Quote A ($/yr)	Quote B ($/yr)
Property			
Wind and hail (if separate)			
Flood			
Liability			
Umbrella			
TOTAL			

Two quotes minimum. One quote is a price; two is a market.

3. Property-tax reassessment estimate

Estimated tax = purchase price x assessment ratio x (mill rate / 1,000). If the county quotes a percent rate instead of mills, use the percent as a decimal. Confirm both with the assessor.

Purchase price ($): _____ **Assessment ratio:** _____ **Mill rate:** _____

Estimated annual tax ($): _____

- Ask the assessor directly: does a sale trigger reassessment here, and when does it hit the bill?
- Some counties reassess on sale, some on a cycle, some never catch up. Rules vary by state and county: confirm locally.
- Underwrite the reassessed number, never the seller's current bill.

4. The rule

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- [ ] If either quote moves the deal by more than 10%, reprice before you offer, not after you close. Rule of thumb, verify locally.
- [ ] Put the final insurance and tax numbers into the Capital Plan (AS-20) before the offer goes out.

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Worked example: Maple Bend Estates, fictional

Fictional. A 48-lot MHC with an ask of $1,650,000. The buyer's offer price is $925,000 (the AS-07 target). The assessment ratio, the mill rate, and the bills are scenario inputs, part of the fiction. The arithmetic is real and checkable. The preflight produces the two numbers that feed AS-08. It does not adjust NOI a second time.

Property tax

Reassessment happens at your price, not the ask. Purchase price $925,000 x assessment ratio 0.80 = assessed value $740,000. Estimated tax = 740,000 x (11.5 / 1,000) = 740,000 x 0.0115 = $8,510 a year, which rounds to the $8,500 in AS-08. The seller's current bill is $4,800 a year. Reassessment adds 8,510 - 4,800 = $3,710 a year. The seller's low bill does not survive the sale.

Insurance

Seller's premium: $5,500 a year. Buyer's re-quote: $8,400 a year. Insurance adds 8,400 - 5,500 = $2,900 a year.

Does it move the deal?

Combined hit: 3,710 + 2,900 = $6,610 a year. Against deposit-basis NOI of $118,000, that is 6,610 / 118,000 = 5.6%. That sits under the 10% reprice trigger (rule of thumb, verify locally), so it does not trigger a separate reprice. It is already inside AS-08, as the +$3,700 tax and +$2,900 insurance adjustments.

Price effect at the 8% target cap: 6,610 / 0.08 = $82,625. That $82,625 is already inside the $955,875 walk price. Do not subtract it twice.

The ask trap

Tax computed on the ask instead of on your price: 1,650,000 x 0.80 x 0.0115 = $15,180 a year. That is 15,180 - 8,510 = $6,670 too high. Reassessment happens at your price. Use your offer.

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The Doctrine

The belief this tool shatters is that the seller's numbers follow the park. They do not. Insurance is priced on you: your entity, your loss history, your carrier's appetite for parks this year. The seller's premium tells you nothing about yours. Property tax is priced on the sale: many counties reassess on transfer, and a low bill can jump the day the deed records. The rule is one sentence: get the real insurance quotes and the reassessed tax estimate before the offer, never after closing. A buyer who meets the tax bill at closing does not have a deal. He has a surprise with a payment schedule.

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